

SILVERLINE FORUM PVT. LTD. v. RAJIV TRUST

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- 24.** Having given our anxious consideration to the respective contentions, we think that the interests of justice would be best served by
- a directing that if the post of Chief Engineer (E&M), held by Mr K.K. Murab, has since fallen vacant, as pointed out by the counsel for the respondent, and if the said post is still lying vacant, and no promotion has so far been made on that post, it shall not be filled up by the State Government and shall be kept vacant so that if and when Respondent 1 is ultimately found to be not guilty in departmental proceedings, he may be promoted on that post without
 - b delay particularly as he has already been found by the Departmental Promotion Committee to be fit for promotion. We also direct that the departmental proceedings pending against Respondent 1 shall be completed provided Respondent 1 cooperates within a period of four months. The post of Chief Engineer, referred to above which has fallen vacant on the retirement of Mr K.K. Murab, shall not be filled up for four months if the
 - c same has not already been filled up in the meantime.

25. The appeal is disposed of in the manner indicated above without any order as to costs.

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- d (BEFORE M.M. PUNCHHI, C.J. AND K.T. THOMAS
AND S. RAJENDRA BABU, JJ.)

SILVERLINE FORUM PVT. LTD.

Appellant;

Versus

RAJIV TRUST AND ANOTHER

Respondents.

- e Civil Appeal No. 1835 of 1998[†], decided on March 31, 1998

A. Civil Procedure Code, 1908 — Or. 21 Rr. 97, 101 & 102 and S. 35(1) — Resistance or obstruction by ‘any person’ to delivery of possession in execution of decree of ejectment — ‘Any person’ in R. 97(1) — A third party to the decree including transferee pendente lite can offer resistance or obstruction — Questions to be decided by the executing court while adjudicating under R. 97(2) — Questions should have legally arisen between the parties to the proceeding and must be relevant to the adjudication — Executing court can decide whether the resister or obstructor is bound by the decree and he refuses to vacate the property — Adjudication need not be based on detailed enquiry or evidence but if deemed necessary court can require adduction of evidence — Transfer of Property Act, 1882, S. 52

- f *Held :*

- g A third party to the decree who offers resistance or obstruction to execution of the decree would fall within the ambit of Rule 101 if an adjudication is warranted as a consequence of the resistance or obstruction made by him to the execution of the decree. No doubt if the resistance was made by a transferee pendente lite of the judgment-debtor, the scope of the adjudication would be shrunk to the limited question whether he is such a transferee and on a finding in the affirmative regarding
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[†] From the Judgment and Order dated 24-4-1997 of the Calcutta High Court in C.R.A. No. 1649 of 1996

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that point the execution court has to hold that he has no right to resist in view of the clear language contained in Rule 102. Exclusion of such a transferee from raising further contentions is based on the salutary principle adumbrated in Section 52 of the Transfer of Property Act. (Para 10)

When a decree-holder complains of resistance to the execution of a decree it is incumbent on the execution court to adjudicate upon it. The words "all questions arising between the parties to a proceeding on an application under Rule 97" would envelop only such questions as would legally arise for determination between those parties. In other words, the court is not obliged to determine a question merely because the resister raised it. The questions which the executing court is obliged to determine under Rule 101, must possess two adjuncts. First is that such questions should have legally arisen between the parties, and the second is, such questions must be relevant for consideration and determination between the parties, e.g., if the obstructor admits that he is a transferee pendente lite it is not necessary to determine a question raised by him that he was unaware of the litigation when he purchased the property. Similarly, a third party, who questions the validity of a transfer made by a decree-holder to an assignee, cannot claim that the question regarding its validity should be decided during execution proceedings. In the adjudication process envisaged in Order 21 Rule 97(2) of the Code, the execution court can decide whether the question raised by a resister or obstructor legally arises between the parties. An answer to the said question also would be the result of the adjudication contemplated in the sub-section. The executing court can decide whether the resister or obstructor is a person bound by the decree and he refuses to vacate the property. That question also squarely falls within the adjudicatory process contemplated in Order 21 Rule 97(2) of the Code. (Paras 11, 12 and 14)

The adjudication mentioned in Order 21 Rule 97(2) need not necessarily involve a detailed enquiry or collection of evidence. The court can make the adjudication on admitted facts or even on the averments made by the resister. Of course the court can direct the parties to adduce evidence for such determination if the court deems it necessary. (Para 14)

Bhanwar Lal v. Satyanarain, (1995) 1 SCC 6; *Brahmdeo Chaudhary v. Rishikesh Prasad Jaiswal*, (1997) 3 SCC 694, *relied on*

Suggested Case Finder Search Text (inter alia) :

decree execut* (resist* or obstruct* or deliver)

B. Rent Control and Eviction — W.B. Premises Tenancy Act, 1956 (12 of 1956) — Ss. 16(1) & 13(2), (3) and (4) — Sub-letting — Ingredients of S. 16(1) — Ss. 16(1) and 13(2) are co-related — Sub-tenancy created by sub-tenant — No notice as contemplated by S. 16(1) given by the subsequent sub-tenant (second respondent) to landlord within the period prescribed therein — Case not shown to be covered by sub-section (2) or (4) of S. 13 — Held, S. 13(3) attracted and hence decree for ejection would be binding on the subsequent sub-tenant who cannot resist delivery of possession — Even if terms of the lease between landlord and tenant permitted creation of sub-lease, that consent can be availed of by the tenant and not by the sub-tenant — Lease between the tenant and his sub-tenant would be governed by the terms of agreement between them — Sub-letting

Held :

Sub-section (1) of Section 16 reveals that three additional requisites are also necessary for a sub-tenant to get wiggled into the contours of the sub-section. They are: (1) the sub-tenancy should have been created after the commencement of the W.B. Act; (2) the landlord of the premises should have given written permission to

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- a the tenant to create such sub-tenancy; (3) the tenant and the sub-tenant should have notified the landlord of the creation of the sub-tenancy within one month of such creation. Sections 16(2) and 16(3) deal with sub-tenants who got into possession before commencement of the West Bengal Act, and they too are obliged to notify the landlord within the time specified. (Para 21)

- b The sub-tenants who secure a perch in Section 16 are afforded with two advantages during any action which the landlord may launch for eviction of the tenant. Those advantages are incorporated in Section 13(2) of the W.B. Act. One of them is that such sub-tenant is entitled to be made a party to the suit for recovery of the premises by the landlord. Second is that no decree or order for ejectment shall be passed against such sub-tenant except under certain specified conditions. Thus, sub-section (2) of Section 13 and Section 16 of the W.B. Act are inextricably intertwined with each other. Sub-section (4) of Section 13 of the W.B. Act has no relevance in the present case. (Paras 22 and 23)

- c Sub-section (3) of Section 13 mandates that the decree for ejectment shall be binding on every sub-tenant unless he falls within the ambit of either sub-section (2) or sub-section (4) of Section 13. There is no case for the second respondent that he has given any notice to the landlord before the expiry of the time schedule fixed in Section 16 of the Act. Nor has he a case that he would fall within the purview of the aforesaid two sub-sections in Section 13 of the W.B. Act. (Para 24)

- d Consent given by the landlord to his tenant for creation of the sub-tenancy is valid only as between the landlord and his tenant. Such consent cannot be used by a sub-tenant to create another sub-tenancy under him so as to bind the landlord. It is clear from Section 16(1) of the W.B. Act that the previous consent of the landlord contemplated therein can only be availed of by his tenant. In other words, the tenant under the landlord can use that consent to sub-let the premises to another person. A lease between the tenant and his sub-tenant would be governed by the terms agreed upon between them and the tenant cannot bind his landlord by any such terms. (Paras 29 and 26)

- e *Shantilal Rampuria v. Vega Trading Corpn.*, (1989) 3 SCC 552, *relied on* *Shalimar Tar Products Ltd. v. H.C. Sharma*, (1988) 1 SCC 70; *Juthika Mulick v. Dr Mahendra Yashwant Bal*, (1995) 1 SCC 560; *Mahabir Prasad Verma v. Dr Surinder Kaur*, (1982) 2 SCC 258, *referred to*

Suggested Case Finder Search Text (inter alia) :

rent eviction (sub near (let* or tenant))

- f adjust near at 2 words

Appeal allowed

R-M/TZ/19494/C

Advocates who appeared in this case :

Kapil Sibal and Arun Jaitley, Senior Advocates (Utpal Majumdar and Ms Sarla Chandra, Advocates, with them) for the Appellant;

S.S. Ray, Senior Advocate (Rana Mukherjee, Ms Sumita Mukherjee, Goodwill Indeevar and Ranjan Mukherjee, Advocates, with him) for the Respondents.

- g **Chronological list of cases cited** **on page(s)**
1. (1997) 3 SCC 694, *Brahmdeo Chaudhary v. Rishikesh Prasad Jaiswal* 729c
 2. (1995) 1 SCC 560, *Juthika Mulick v. Dr Mahendra Yashwant Bal* 731f
 3. (1995) 1 SCC 6, *Bhanwar Lal v. Satyanarain* 729a
 4. (1989) 3 SCC 552, *Shantilal Rampuria v. Vega Trading Corpn.* 731d, 731f-g, 732a
 5. (1988) 1 SCC 70, *Shalimar Tar Products Ltd. v. H.C. Sharma* 731e-f
 6. (1982) 2 SCC 258, *Mahabir Prasad Verma v. Dr Surinder Kaur* 731f-g

The Judgment of the Court was delivered by

THOMAS, J.— Special leave granted.

2. A sub-tenant, who was not party to a decree for eviction, resisted execution of the decree and the Court ordered an inquiry under Section 151 of the Code of Civil Procedure (“Code” for short). The High Court of Calcutta upheld that order and that is challenged in this appeal.

3. The suit property is a flat in “Harrington Mansion” situated on an important road at Calcutta. It was in the ownership of one Arun Kumar Jalan. He tenanted the premises to Rajiv Trust (first respondent) on 15-5-1975, who sub-let the building to a company M/s Accounting and Secretarial Service Private Limited (which will hereinafter be referred to as “the first sub-tenant”). Subsequently the first sub-tenant created another sub-tenancy under it in favour of second respondent M/s Capstain Shipping Estate Private Limited.

4. Ownership of the building changed from Arun Kumar Jalan and it now vests with the Silverline Forum Private Limited, (the appellant herein) as per registered conveyance deed dated 24-1-1995. The appellant filed a suit for ejectment of the tenant against the first respondent under the provisions of the West Bengal Premises Tenancy Act, 1956, (hereinafter referred to as the “W.B. Act”) on two grounds. First is that the tenant respondent had sub-let the building without the consent of the landlord and second is that the tenant used it in such a manner as to impair its condition. A decree for ejectment was passed ex parte on 12-12-1995. Before the appellant set out with execution proceedings the second respondent sub-tenant filed a suit (OS No. 2997 of 1995) against the appellant and some others for a declaration and consequential injunction orders. Though initially the second respondent got an interim order injunction against ejectment it was subsequently vacated on 15-12-1995, but that suit is still pending.

5. In the meanwhile the appellant moved for execution of the decree of ejectment. On 20-3-1996, the bailiff of the Court went to the premises for effecting delivery of possession, but he was resisted by the representatives of the second respondent and he reported the matter to the Court. When he was again directed by the Court to effect delivery of possession with police help, he was unable to dispossess the second respondent as the execution court had stayed dispossession in the meantime. The second respondent filed Miscellaneous Case No. 556 of 1996 before the execution court quoting Order 21 Rule 101 and Section 151 of the Code, raising a contention that the decree was passed without making him a party and alleging that the decree was obtained in collusion between the appellant and the first respondent, Rajiv Trust. The execution court, however, held that the second respondent being a third-party resister cannot avail himself of the remedy provided in Order 21 Rule 101 of the Code. Nevertheless the Court ordered an inquiry to be conducted under Section 151 of the Code into the allegations made by the second respondent, as per its order dated 26-4-1976. Both sides, the

appellant and the second respondent, were aggrieved by that order and hence both of them challenged it in revision before the High Court.

- a 6. A learned Single Judge of the Calcutta High Court concurred with the view of the execution court that grievances of the second respondent cannot be canalised through Order 21 Rule 101 presumably because the decree-holder has not moved the application for police help to remove the resistance under Order 21 Rule 97 of the Code. Nonetheless, learned Single Judge observed that the application of the second respondent could be gone into by the Court in accordance with the inherent powers of the Court as recognised in Section 151 of the Code. On the said view of the matter both revisions were dismissed by the order which is under challenge now.
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- c 7. Shri Siddhartha Shankar Ray, learned Senior Counsel who argued for the contesting parties, did not choose to defend the view of the learned Single Judge of the High Court regarding non-availability of the remedy under Order 21 Rule 97 of the Code. According to the learned counsel, though he could not agree with that reasoning of the High Court there is no warrant for the stand of the decree-holder that the respondent had no legal right to assail the decree in execution proceedings.

- d 8. Shri Kapil Sibal, learned Senior Counsel for the appellant decree-holder, on the other hand contended that since the second respondent has admitted that he is a sub-tenant under the first sub-tenant he cannot even be heard that the decree for ejectment is a nullity or a collusive decree. He pointed out that even the first sub-tenant has never assailed that decree and hence the second respondent, who is a sub-tenant under the first sub-tenant, has no competence to question the decree for ejectment.

- e 9. At the outset, we may observe that it is difficult to agree with the High Court that resistance or obstructions made by a third party to the decree of execution cannot be gone into under Order 21 Rule 97 of the Code. Rules 97 to 106 in Order 21 of the Code are subsumed under the caption "Resistance to delivery of possession to decree-holder or purchaser". Those rules are intended to deal with every sort of resistance or obstructions offered by any person. Rule 97 specifically provides that when the holder of a decree for possession of immovable property is resisted or obstructed by "any person" in obtaining possession of the property such decree-holder has to make an application complaining of the resistance or obstruction. Sub-rule (2) makes it incumbent on the court to proceed to adjudicate upon such complaint in accordance with the procedure laid down.
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- g 10. It is true that Rule 99 of Order 21 is not available to any person until he is dispossessed of immovable property by the decree-holder. Rule 101 stipulates that all questions "arising between the parties to a proceeding on an application under Rule 97 or Rule 99" shall be determined by the executing court, if such questions are "relevant to the adjudication of the application". A third party to the decree who offers resistance would thus fall within the ambit of Rule 101 if an adjudication is warranted as a consequence of the resistance or obstruction made by him to the execution
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of the decree. No doubt if the resistance was made by a transferee pendente lite of the judgment-debtor, the scope of the adjudication would be shrunk to the limited question whether he is such a transferee and on a finding in the affirmative regarding that point the execution court has to hold that he has no right to resist in view of the clear language contained in Rule 102. Exclusion of such a transferee from raising further contentions is based on the salutary principle adumbrated in Section 52 of the Transfer of Property Act.

11. When a decree-holder complains of resistance to the execution of a decree it is incumbent on the execution court to adjudicate upon it. But while making adjudication, the court is obliged to determine only such question as may be arising between the parties to a proceeding on such complaint and that such questions must be relevant to the adjudication of the complaint.

12. The words “all questions arising between the parties to a proceeding on an application under Rule 97” would envelop only such questions as would legally arise for determination between those parties. In other words, the court is not obliged to determine a question merely because the resister raised it. The questions which the executing court is obliged to determine under Rule 101, must possess two adjuncts. First is that such questions should have legally arisen between the parties, and the second is, such questions must be relevant for consideration and determination between the parties, e.g., if the obstructor admits that he is a transferee pendente lite it is not necessary to determine a question raised by him that he was unaware of the litigation when he purchased the property. Similarly, a third party, who questions the validity of a transfer made by a decree-holder to an assignee, cannot claim that the question regarding its validity should be decided during execution proceedings. Hence, it is necessary that the questions raised by the resister or the obstructor must legally arise between him and the decree-holder. In the adjudication process envisaged in Order 21 Rule 97(2) of the Code, the execution court can decide whether the question raised by a resister or obstructor legally arises between the parties. An answer to the said question also would be the result of the adjudication contemplated in the sub-section.

13. In the above context we may refer to Order 21 Rule 35(1) which reads thus:

“35. (1) Where a decree is for the delivery of any immovable property, possession thereof shall be delivered to the party to whom it has been adjudged, or to such person as he may appoint to receive delivery on his behalf, and, if necessary, by removing any person bound by the decree who refuses to vacate the property.”

14. It is clear that the executing court can decide whether the resister or obstructor is a person bound by the decree and he refuses to vacate the property. That question also squarely falls within the adjudicatory process contemplated in Order 21 Rule 97(2) of the Code. The adjudication mentioned therein need not necessarily involve a detailed enquiry or collection of evidence. The court can make the adjudication on admitted

facts or even on the averments made by the resister. Of course the court can direct the parties to adduce evidence for such determination if the court

a deems it necessary.

15. In *Bhanwar Lal v. Satyanarain*¹ a three-Judge Bench has stated as under: (SCC p. 9, para 5)

b “A reading of Order 21 Rule 97 CPC clearly envisages that ‘any person’ even including the judgment-debtor irrespective whether he claims derivative title from the judgment-debtor or sets up his own right, title or interest dehors the judgment-debtor and he resists execution of a decree, then the court in addition to the power under Rule 35(3) has been empowered to conduct an enquiry whether the obstruction by that person in obtaining possession of immovable property was legal or not. The decree-holder gets a right under Rule 97 to make an application against third parties to have his obstruction removed and an enquiry thereon could be done.”

c 16. In *Brahmdeo Chaudhary v. Rishikesh Prasad Jaiswal*² this Court, following the aforesaid decision, made the under-quoted observation: (SCC p. 699, para 6)

d “It is pertinent to note that the resistance and/or obstruction to possession of immovable property as contemplated by Order 21 Rule 97 CPC could have been offered by any person. The words ‘any person’ as contemplated by Order 21 Rule 97, sub-rule (1) are comprehensive enough to include apart from judgment-debtor or anyone claiming through him even persons claiming independently and who would, therefore, be total strangers to the decree. ... Consequently it must be held that Respondent 1’s application dated 6-5-1991 though seeking only reissuance of warrant for delivery of possession with aid of armed force in substance sought to bypass the previous resistance and obstruction offered by the appellant on the spot. Thus it was squarely covered by the sweep of Order 21 Rule 97, sub-rule (1) CPC. Once that happened the procedure laid down by sub-rule (2) thereof had to be followed by the executing court. The Court had to proceed to adjudicate upon the application in accordance with the subsequent provisions contained in the said order.”

e 17. We are in respectful agreement with the aforesaid statement of law.

f 18. We, therefore, agree with the contention of Shri Siddhartha Shankar Ray, learned Senior Counsel for the second respondent that the High Court went wrong in holding that the contention of the second respondent cannot be considered under Order 21 Rule 97 of the Code. But the aforesaid finding is not sufficient to dispose of this appeal.

g 19. Shri Kapil Sibal contended that the second respondent being a sub-tenant under the first sub-tenant he is bound by the decree of ejectment

h ¹ (1995) 1 SCC 6

² (1997) 3 SCC 694

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albeit his not being made a party to the suit in which the decree was passed. It is quite clear that the second respondent is a tenant under the first sub-tenant. This can be gathered from para 6 of the application which the second respondent filed in the execution court. a

20. Such a sub-tenant as the second respondent is bound by the decree of ejectment. Section 16 of the W.B. Act deals with "creation and termination of sub-tenancies to be notified". Sub-section (1) of Section 16 relates to sub-tenancies created after the commencement of the W.B. Act. Sub-sections (2) and (3) deal with sub-tenancies created before the commencement of the W.B. Act. As all the sub-tenancies in this case were created after the commencement of the W.B. Act it is not necessary to consider the latter two sub-sections. Hence Section 16(1) alone is extracted below: b

"16. (1) Where after the commencement of this Act, any premises are sub-let either in whole or in part by the tenant with the previous consent in writing of the landlord, the tenant and every sub-tenant to whom the premises are sub-let shall give notice to the landlord in the prescribed manner of the creation of the sub-tenancy within one month from the date of such sub-letting and shall in the prescribed manner notify the termination of such sub-tenancy within one month of such termination." c

21. A reading of the sub-section reveals that three additional requisites are also necessary for a sub-tenant to get wiggled into the contours of the sub-section. They are (1) the sub-tenancy should have been created after the commencement of the W.B. Act; (2) the landlord of the premises should have given written permission to the tenant to create such sub-tenancy; (3) the tenant and the sub-tenant should have notified the landlord of the creation of the sub-tenancy within one month of such creation. Sections 16(2) and 16(3) deal with sub-tenants who got into possession before commencement of the West Bengal Act, and they too are obliged to notify the landlord within the time specified. a

22. The sub-tenants who secure a perch in Section 16 are afforded with two advantages during any action which the landlord may launch for eviction of the tenant. Those advantages are incorporated in Section 13(2) of the W.B. Act. One of them is that such sub-tenant is entitled to be made a party to the suit for recovery of the premises by the landlord. Second is that no decree or order for ejectment shall be passed against such sub-tenant except under certain specified conditions. Thus, sub-section (2) of Section 13 and Section 16 of the W.B. Act are inextricably intertwined with each other. f

23. Sub-section (4) of Section 13 of the W.B. Act has no relevance in the present case as it only deals with the claim of a landlord for eviction on the ground that he reasonably requires the premises either for his own occupation or for the purposes of renovation, rebuilding etc. Now we may refer to sub-section (3) of Section 13 of the W.B. Act. It read thus: 9

"13. (3) Save as provided in sub-section (2) and sub-section (4), a decree or order for the delivery of possession of any premises shall be binding on every sub-tenant." h

24. It is the statutory mandate that the decree for ejectment shall be binding on every sub-tenant unless he falls within the ambit of either sub-section (2) or sub-section (4) of Section 13. There is no case for the second respondent that he has given any notice to the landlord before the expiry of the time schedule fixed in Section 16 of the Act. Nor has he a case that he would fall within the purview of the aforesaid two sub-sections in Section 13 of the W.B. Act.

25. Of course, learned counsel for the second respondent contended that the instrument of lease as between Arun Kumar Jalan and M/s Rajiv Trust contained a term permitting the tenant to create sub-tenancy. Learned counsel for the appellant argued that such permission cannot be overborrowed by sub-tenants to create further sub-tenancies, and he pointed out that even the second respondent has no claim that he has notified the landlord as envisaged in Section 16(1) of the W.B. Act.

26. It is clear from Section 16(1) of the W.B. Act that the previous consent of the landlord contemplated therein can only be availed of by his tenant. In other words, the tenant under the landlord can use that consent to sub-let the premises to another person. A lease between the tenant and his sub-tenant would be governed by the terms agreed upon between them and the tenant cannot bind his landlord by any such terms.

27. In *Shantilal Rampuria v. Vega Trading Corpn.*³ a two-Judge Bench of this Court considered the scope of Section 16 of the W.B. Act and held that “previous consent in writing of the landlord with respect to each sub-letting separately is essential and a general authority to the tenant in this regard will not be sufficient in law”. In that case, none of the sub-tenants was impleaded as party, and this Court held that since notice under Section 16 was not served on the landlord the non-impleadment will not affect validity of the proceedings for eviction. Their Lordships sought support from another two-Judge Bench decision of this Court in *Shalimar Tar Products Ltd. v. H.C. Sharma*⁴ in which similar provisions in the Delhi Rent Control Act were considered.

28. In *Juthika Mulick v. Dr Mahendra Yashwant Bal*⁵ provisions of W.B. Act were the subject-matter for consideration, but nothing contrary to the decision in *Shantilal Rampuria*³ has been stated by this Court. Reference was also made to the decision in *Mahabir Prasad Verma v. Dr Surinder Kaur*⁶. Though it related to the provisions of the East Punjab Urban Rent Restriction Act, 1949, the question considered was whether a sub-tenancy created with the consent of the landlord during the subsistence of the tenancy would continue to be lawful even after the expiry of the period of lease. The answer was in the affirmative. At any rate that decision does not

³ (1989) 3 SCC 552

⁴ (1988) 1 SCC 70

⁵ (1995) 1 SCC 560

⁶ (1982) 2 SCC 258

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run counter to the view adopted by the two-Judge Bench in *Shantilal Rampuria*³.

29. Thus, without any difficulty, it can be held that consent given by the landlord to his tenant for creation of the sub-tenancy is valid only as between the landlord and his tenant. Such consent cannot be used by a sub-tenant to create another sub-tenancy under him so as to bind the landlord.

30. For the aforementioned reasons, we allow this appeal and set aside the orders under challenge. We hold that the appellant is entitled to delivery of possession by removing the obstruction/resistance made by the second respondent.

(1998) 3 Supreme Court Cases 732

(BEFORE SUJATA V. MANOHAR AND D.P. WADHWA, JJ.)

M.H. DEVENDRAPPA

Appellant;

Versus

KARNATAKA STATE SMALL INDUSTRIES
DEVELOPMENT CORPORATION

Respondent.

Civil Appeal No. 3867 of 1988[†], decided on February 17, 1998

A. Constitution of India — Art. 19 — Fundamental freedoms, held, are not necessarily and in all circumstances mutually supportive, although taken together, they weave a fabric of a free and equal democratic society — Some restrictions on one's rights may be necessary to protect another's rights in a given situation — Proper exercise of rights may have, implicit in them, certain restrictions — The rights must be harmoniously construed so that they are properly promoted with the minimum of such implied and necessary restrictions

B. Constitution of India — Art. 19 — Fundamental freedoms vis-à-vis conduct rules framed for employees — Held, the freedoms have to be read harmoniously so that conduct rules, which are reasonably required in furtherance of one freedom are not struck down as violating other freedoms

C. Service Law — Service Rules — Conduct Rules — Restrictions imposed by — Validity — Held, the restrictions though impinge upon the freedoms guaranteed by the Constitution, yet reasonable restrictions are permissible in overall interest of the organisation, efficiency and discipline — Courts have however to ensure that such restrictions are minimal and in the overall interest of the organisation in which an employee is working — Validity of the conduct rules has to be tested on the touchstone of reasonableness — However, the initial presumption is that the rules are valid — Karnataka State Small Industries Development Corporation Service Rules, Rr. 22 and 19

D. Service Law — Misconduct — Indiscipline — Held, any action which is detrimental to the interests or prestige of the employer, undermines discipline and the efficient functioning of organisation in which he is working — However, further held, legitimate action discreetly and properly taken by a government servant with a sense of responsibility and at proper level, to remedy any malfunctioning in the organisation, is not barred

[†] From the Judgment and Order dated 18-4-1988 of the Karnataka High Court in W.A. No. 602 of 1988